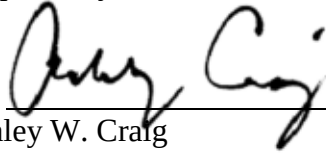


CARLSTAR GROUP LLC f/k/a	:	
CARLISLE TRANSPORTATION PRODUCTS, INC., and	:	
CTP TRANSPORTATION PRODUCTS, LLC,	:	
	:	
Complainants,	:	
	:	
v.	:	Docket No. 17-08
	:	
	:	
UTi, UNITED STATES, INC.,	:	
UTi, UNITED STATES, LLC, and	:	
DSV AIR & SEA, INC.	:	
	:	
Respondents.	:	
	:	

UTi, United States, LLC and DSV Air & Sea, Inc. (“DSV”), successors in interest to UTi, United States, Inc., (“UTi”) (collectively, “Respondents”), by and through Respondents’ attorneys, hereby moves the Federal Maritime Commission (“Commission” or “FMC”) for an Order pursuant to Rules 12(b)(1) and 12(b)(6) of the Federal Rules of Civil Procedure, as permitted by Rule 12 of the Commission’s Rules of Practice and Procedure, 46 C.F.R. § 502.12, to dismiss the Verified Complaint of Complainants Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. and CTP Transportation Products, LLC (collectively, “Carlstar” or “Complainants”), in its entirety and with prejudice, and to provide any further relief as the Commission deems just, reasonable, and proper.

Dated: December 8, 2017

Respectfully submitted,

By: 
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Counsel for Respondents

CARLSTAR GROUP LLC f/k/a	:	
CARLISLE TRANSPORTATION PRODUCTS, INC., and	:	
CTP TRANSPORTATION PRODUCTS, LLC,	:	
	:	
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	:	
Respondents.	:	
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UTi, United States, LLC and DSV Air & Sea, Inc. (“DSV”), successors in interest to UTi, United States, Inc., (“UTi”) (collectively, “Respondents”), submit this memorandum in support of the motion to dismiss the claims asserted by Complainants Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. and CTP Transportation Products, LLC (collectively, “Carlstar” or “Complainants”), for lack of subject matter jurisdiction and for failure to state a claim upon which relief may be granted, pursuant to Rules 12(b)(1) and 12(b)(6) of the Federal Rules of Civil Procedure, as permitted by Rule 12 of the Federal Maritime Commission’s (“FMC[’s]”) Rules of Practice and Procedure, 46 C.F.R. § 502.12. Good cause exists to grant this Motion for the reasons set forth herein.

INTRODUCTION

Respondents move to dismiss the claims for lack of subject matter jurisdiction, because the claims alleged by Complainants are not violations of the Shipping Act of 1984, Pub. L. No. 98-237, 98 Stat. 67 (1984), codified at 46 U.S.C. § 40101 *et seq.* (2012) (the “Shipping Act, as amended”). Instead, Complainants allege pure breach of contract claims. Under Federal Maritime Commission case law and regulations, a private party is limited to alleging violations of the Shipping Act, as amended, and the Commission’s jurisdiction is limited to violations of the Shipping Act. Moreover, the agreement between the Carlstar and UTi contains a dispute resolution clause which requires all controversies regarding the rights, duties or liabilities under the agreement to be settled by binding arbitration in New York, NY, the appropriate forum to adjudicate Carlstar’s claims. For these reasons, the claims must be dismissed.

Respondents also move to dismiss for failure to state a claim, because Complainants have failed to allege facts amounting to a violation of the Shipping Act, as amended. Finally, even if Complainants’ claims are not dismissed in their entirety, they must at least be dismissed to the extent Complainants seek reparations for alleged violations that accrued beyond the applicable three-year statute of limitations.

BACKGROUND

A. Complainants’ Allegations

Carlstar, based in Franklin, Tennessee, is a supplier of tires and wheels for various markets, including agriculture, construction, ATV, high-speed trailer, and lawn and garden. Compl. ¶ 1. Beginning in at least 2011, through part of 2016, Carlstar contracted with UTi, an FMC-licensed non-vessel-operating common carrier (“NVOCC”), to obtain ocean transportation services for its merchandise.

Complainants allege that Carlisle Transportation Products, Inc. and UTi executed an agreement dated June 1, 2011, which governed the contractual relationship between the parties. *See id.* ¶ 8. Complainants allege that Carlisle Transportation Products, Inc. (later renamed The Carlstar Group LLC) and UTi executed multiple amendments to the agreement between 2011 and 2016. *See id.* ¶¶ 8–21.

Based on unidentified “concerns” about UTi’s rates charged to Carlstar under the agreement and amendments, in 2016 Carlstar allegedly hired Ocean Audit, Inc. to review the freight invoices, payments, and financial records related to payments made by Carlstar to UTi from 2011 to 2016. *See id.* ¶ 23. The results of this audit purportedly revealed, during the relevant period, “significant discrepancies between the amount UTi billed Carlstar under the Agreements versus the amount UTi should have billed Carlstar.” *See id.* ¶ 24.

The Verified Complaint indicates that prior to the ocean audit, Carlstar was not aware of UTi’s alleged overcharges. *Id.* ¶ 25. Carlstar alleges that it had “concerns” about the rates, but does not identify the alleged “concerns” or the basis for those “concerns.” *See id.* ¶ 23. Nor does Carlstar allege when the “concerns” arose or why Carlstar could not have acted on those “concerns” prior to 2016.

Based on these allegations, Complainants filed the Verified Complaint on August 31, 2017, Complainants filed a Verified Complaint with the FMC, alleging that Respondents violated three separate provisions of the Shipping Act, as amended, during the period from 2011 to 2016, as follows: (1) UTi allegedly violated 46 U.S.C. § 41102(c) by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property; (2) UTi allegedly violated 46 U.S.C. § 41104(2) by charging rates greater than the published tariff and/or the Agreements; and (3)

UTi allegedly violated 46 U.S.C. § 41102(4) by charging unfair and potentially discriminatory fees. *See id.* ¶¶ 36–38. Based on these allegations, Complainants claim that they have incurred damages “in the amount of at least \$5,155,170.06,” and seeks an order from the Commission commanding Respondents to pay reparations plus interest, costs, and attorneys’ fees. *See id.* ¶ 43. Complainants also request a hearing on this matter to be held in Washington, D.C. *See id.* ¶ 44.

B. Procedural History

Following the filing of the Verified Complaint, Complainants and Respondents (collectively, “the Parties”) conferred in an attempt to resolve these issues without incurring the time and expense of a full proceeding. On September 27, 2017, the Parties jointly filed a Joint Motion to Stay the Proceedings in an attempt to resolve the matter through mediation with CADRS. On September 28, 2017, the Commission thus issued an Order staying the proceeding until October 26, 2017, and a second Order (the “Second Order”) staying the proceedings until December 1, 2017. The Second Order provided, “If the parties do not settle by December 1, 2017, Respondents must answer or otherwise respond to the Verified Complaint on or before December 8, 2017.” In lieu of filing an Answer, Respondents file this motion and supporting memorandum to dismiss all of Carlstar’s claims in their entirety and with prejudice for the reasons stated herein.

STANDARD OF REVIEW

Complainants seeks dismissal with prejudice for lack of subject matter jurisdiction and for failure to state a claim upon which relief may be granted. As no specific FMC Rule provides for a motion to dismiss on either basis, the FMC should apply Rules 12(b)(1) and 12(b)(6) of the Federal Rules of Civil Procedure. *See* 46 C.F.R. § 502.12 (“[F]or situations which are not

covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.”); *see also Mutsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2011 WL 7144008, at *11 (F.M.C. Aug. 1, 2011) (“As the Commission’s Rules do not address motion to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in this case”); *DNB Exports LLC v. Barsan Global Logistics*, Docket No. 11-07, 2011 WL 7144017, at *3 (F.M.C. July 7, 2011) (same).

A. Federal Rule of Civil Procedure 12(b)(1)

Under Federal Rule of Civil Procedure 12(b)(1), a court must grant a motion to dismiss if it lacks subject matter jurisdiction. A Rule 12(b)(1) motion “may assert either a factual attack or a facial attack to jurisdiction.” *DNB Exports*, 2011 WL 7144017, at *3 (citations omitted). A facial attack challenges the sufficiency of the allegations in the complaint while a factual attack challenges “the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered.” *Id.* “[T]he plaintiff bears the burden of establishing that the court has jurisdiction.” *Grand Lodge of Fraternal Order of Police v. Ashcroft*, 185 F. Supp. 2d 9, 13 (D.D.C. 2001); *see also DNB Exports*, 2011 WL 7144017, at *4.

Because subject-matter jurisdiction focuses on the court's power to hear a plaintiff's claim, a Rule 12(b)(1) motion imposes on a court an affirmative obligation to ensure that the court is acting within the scope of its jurisdictional authority. *Grand Lodge*, at 13. Therefore, complainant's factual allegations bear increased scrutiny in resolving a 12(b)(1) motion than in resolving a 12(b)(6) motion for failure to state a claim. *Id.* at 13-14. Further, when assessing its jurisdictional authority to hear a claim pursuant to a Rule 12(b)(1) motion to dismiss, the court

need not limit itself to the allegations of the complaint but may consider such materials outside the pleadings as it deems appropriate to resolve the question whether it has jurisdiction in the case. *See id.* (citing *Hohri v. United States*, 782 F.2d 227, 241 (D.C. Cir. 1986)).

B. Federal Rule of Civil Procedure 12(b)(6)

Under Federal Rule of Civil Procedure 12(b)(6), for a cause of action to survive dismissal, a complaint must set forth “sufficient factual matter” to state “a claim to relief that is plausible on its face.” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007)); *see also Mitsui O.S.K. Lines Ltd.*, 2011 WL 7144008, at *12 (applying *Iqbal* and *Twombly* pleading standards in Commission proceeding). To satisfy this “facial plausibility” standard, a plaintiff must allege “factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Iqbal*, 556 U.S. at 678 (citing *Twombly*, 550 U.S. at 556). Conversely, a complaint does *not* state a plausible claim to relief by merely offering a “formulaic recitation of the elements of a cause of action,” or by making “naked assertions devoid of further factual enhancement.” *Id.* (internal quotations omitted).

The federal courts consider three guiding principles when assessing the “facial plausibility” of a complaint under Rule 12(b)(6). First, a court may disregard “bald assertions or legal conclusions in a complaint when deciding a motion to dismiss.” *Mason v. Coca-Cola Co.*, 774 F. Supp. 2d 699, 702 (D.N.J. 2011) (internal quotations omitted). The U.S. Supreme Court has noted, “[t]hreadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice.” *Iqbal*, 556 U.S. at 678 (citing *Twombly*, 550 U.S. at 555). Second, a court may “draw on its judicial experience and common sense” when determining whether a pleading permits the court “to infer more than the mere possibility of

misconduct.” *Iqbal*, 556 U.S. at 679. Lastly, as a practical matter, if the face of a pleading does not state a plausible claim, it should be “exposed at the point of minimum expenditure of time and money by the parties and the court.” *Twombly*, 550 U.S. at 558 (internal quotation omitted).

ARGUMENT

The Verified Complaint must be dismissed in its entirety and with prejudice because Complainants have not alleged any plausible claim upon which the Commission can grant relief. These claims should be dismissed now rather than allowing this matter to move forward to a costly and time-consuming proceeding before the Commission. *See id.*

I. COMPLAINANTS’ CLAIMS MUST BE DISMISSED FOR LACK OF SUBJECT MATTER JURISDICTION

Because Complainants do not allege violations of the Shipping Act, as amended, and instead allege breach of contract claims to which a contractual arbitration clause applies, the Commission lacks jurisdiction to adjudicate the dispute and must dismiss their claims for lack of subject matter jurisdiction.

A. The Commission’s Jurisdiction is Limited to Violations of the Shipping Act

The Commission’s jurisdiction is limited to claims involving alleged violations of the Shipping Act. *See, e.g., Pasha Auto Warehouse, Inc. v. Philadelphia Regional Port Authority*, 1998 WL 188848 at *6 (E.D. Pa. 1998) (“The Shipping Acts . . . only provide exclusive jurisdiction [to the FMC] over claims involving possible violations of the Shipping Acts”); *In re Containership Co.*, 466 B.R. 219, 226 (Bankr. S.D.N.Y. 2012). The Commission elaborated on this point in *Cargo One, Inc. v. COSCO Container Lines Company, Ltd.*, 28 S.R.R. 1635 (F.M.C. 2000). There, the Commission observed that questions as to its jurisdiction turn on whether a claim involves elements peculiar to the Shipping Act, as amended, as distinguished from a mere

breach of contract claim. *Id.* at 1645. Thus, “as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violations successfully rebuts the presumption that the claim is not more than simply a breach of contract claim.” *Id.* at 1645 n.17; *see also Anchor Shipping Co. v. Alianca Navegacao e Logistica Ltda*, 300 S.R.R. 991, 998–99 (2006). Accordingly, the Commission’s regulations require a private party’s complaint allege a violation of the Shipping Act, as amended. *See* 46 C.F.R. § 502.62(a)(3)(v).

Complainants’ claims are based on UTi’s alleged breach of the Parties’ agreement, including subsequent amendments, between Carlstar and UTi. Complainants assert a total claim of \$5,155,170.06, plus interest, costs, and attorneys’ fees, against Respondents. Of the total amount of the claim, \$521,380.93 of the claim arises out of so-called “overcharges” based upon an audit from a dubious and disreputable source, which allegedly calculated the correct rate that UTi should have charged Carlstar “under the Agreements” by relying on an unknown methodology. *See* Compl. ¶¶ 24–30 & Exs. 11 and 12. The majority of the claim, for \$4,349,344.50, is based upon UTi’s alleged failure to provide back-up documentation evidencing that these charges were actually incurred by UTi. *See id.* ¶ 31 & Ex. 13. Further, \$132,519.00 of the claim is based upon the Parties’ dispute of a commercial term of service between Carlstar and UTi, mainly whether UTi should have charged Carlstar bill of lading fees on a per container or per shipment basis. *See id.* ¶ 28 & Ex. 10. And lastly, \$151,925.63 of the claim is based upon alleged double, triple or otherwise incorrect invoicing or billing issues. *See id.* ¶ 27 & Exs. 5-9.

It is apparent that the allegations asserted by Complainants set forth pure breach of contract claims and commercial claims for alleged failures to charge what was agreed upon per the agreement between the Parties, alleged failures to substantiate charges with back-up

documentation, and allegedly incorrect billing and improper calculation of a documentation fee.

Even if true, these allegations would not involve any violation of the Shipping Act.

Complainants' claims regarding alleged overcharges allege a breach of the agreement between the Parties, *see id.* ¶ 24—which called for all freight charges to Carlstar to mirror the charges between UTi and the Ocean Carrier, *see id.*, Ex. 2, App. A—and not for violation of any tariff or a FMC compliant instrument. *See id.*, Exs. 11–12 (setting forth an explanation of alleged ocean freight and bunker adjustment fuel overcharges based on an unexplained calculation of the “correct rate” conjured up by Ocean Audit, Inc. and not based on analysis of any FMC-compliant rate vehicle). Moreover, Carlstar has in no way described how an alleged failure to substantiate charges with back-up documentation or an alleged failure to calculate correctly a documentation fee would constitute an overcharge in violation of any published tariff, *see the Shipping Act*, as amended, § 41104(2), or an application of unfair or discriminatory practices in the matter of rates and charges for service provided pursuant to a tariff, *see id.* § 41104(4).

The Commission has statutory responsibility to ensure that parties implement agreements as approved by and filed with the Commission. *See I A/S Ivarans Rederi v. United States (Ivarans I)*, 895 F.2d 1441, 1446 (D.C. Cir. 1990); *Duke Power Co. v. FERC*, 864 F.2d 823, 829 (D.C. Cir. 1989); *Swift & Co. v. FMC*, 306 F.2d 277, 282 (D.C. Cir. 1962). That authority, however, does not extend to agreements that are not filed with the FMC, nor to claims that amount to mere breach of contract claims with no elements particular to the Shipping Act. *See Cargo One, Inc.*, 28 S.R.R. at 1645.

The Commission's analysis may end here. Nevertheless, there are additional independent reasons for the Commission to dismiss the Verified Complaint.

B. This Dispute Should be Referred to Mandatory Arbitration Per the Contractual Clause in the agreement Between the Parties

A separate and independent reason to dismiss the Verified Complaint is that the Parties' agreement contains a binding, mandatory arbitration clause, pursuant to which Carlstar must arbitrate its claims. The Agreement between the Parties clearly states that "[a]ny controversy which shall arise between CTP and UTi regarding the rights, duties, or liabilities of either party hereunder . . . shall be settled by binding arbitration in New York, New York in accordance with the Arbitration Act and pursuant to the rules of the American Arbitration Association." Compl. Ex. 1, page 7.

It is well established that the Federal Arbitration Act embodies the liberal federal policy in favor of arbitration, and the United States Supreme Court has held that any doubts concerning the scope of arbitrable issues should be resolved in favor of arbitration. *See Moses H. Cone Memorial Hosp. v. Mercury Constr. Corp.*, 460 U.S. 1, 24–25 (1983); *McDonnell Douglas Fin. Corp. v. Pennsylvania Power & Light Co.*, 858 F.2d 825, 832 (2d Cir. 1988). The Federal Maritime Commission therefore routinely requires parties to submit to arbitration when an approved contract has a mandatory arbitration provision. *See Ivarans I*, 895 F.2d at 1446 (citing *Firestone Int'l Co. v. Far E. Conference*, 9 F.M.C. 119, 128 (1965)).

Carlstar expressly alleges that these charges by UTi breached the agreement, *see* Compl. ¶¶ 8-24. Therefore, Carlstar's claims must be arbitrated pursuant to that agreement's arbitration provision, and the Commission should dismiss this proceeding.

II. COMPLAINANTS' CLAIMS MUST BE DISMISSED FOR FAILURE TO STATE A CLAIM FOR ANY VIOLATION OF THE SHIPPING ACT

Yet another entirely independent and distinct ground for dismissal is that Complainant's Verified Complaint is not capable of alleging a violation of the Shipping Act, as amended, on the

merits. In other words, even if the Commission had jurisdiction to hear this case (*i.e.*, even if Complainants did not allege mere breach of contract), and even if Complainants were not bound by an arbitration clause, Complainants would still fail to state a claim for relief under the Shipping Act, as amended. Complainants bring their claims under “46 U.S.C. § 41102(c), 46 U.S.C. § 41104(2), and 46 U.S.C. § 41104(4).” Compl. ¶ 6. Aside from baldly reciting the elements of these provisions, however, Complainants fail to allege facts that would constitute violations of the Shipping Act, as amended.

A. Complainants Fail to Assert a Violation of 46 U.S.C. § 41102(c)

Complainants’ claim of a violation of 46 U.S.C. § 41102(c) must be dismissed, because Complainants fails to allege with any level of factual detail that UTi has failed to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” It is well established that Section 10(d)(1) of the Shipping Act, as amended, 46 U.S.C. § 41102(c), relates not to alleged overcharges and billing issues that arise after the shipment has been completed, but to unreasonable practices connected with the handling, storage or delivery of freight and property when it is in the custody of the NVOCC. *See Petra Pet, Inc. v. Panda Logistics Ltd, Panda Logistics Co., Ltd and RDM Solutions*, 33 S.R.R. 4 (F.M.C. 2013) (finding that an NVOCC’s withholding and aborting of a shipment to coerce payment of a debt for other shipments was an unreasonable practice and violated section 10(d)(1), and that the failure of an NVOCC to remit freight payments and to communicate with or provide the status of the shipment to the shipper was a Section 10(d)(1) violation); *William J. Brewer v. Saeid B. Maralan (aka Sam Bustani) & World Line Shipping, Inc.*, 29 S.R.R. 6 (F.M.C. 2001) (NVOCC held to have violated Section 10(d)(1) when it refused to release the cargo at the destination port unless additional money was paid, and instructed its

agent to place the shipment on hold); *Hugh Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871 (ALJ 1993) (NVOCC's failure to carry out its obligation to transport the cargo or to return the money despite repeated demands was held a violation of section 10(d)(1) as it showed "a failure to establish, observe and enforce just and reasonable regulations and practices"); *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 18-19 (ALJ 1991) (finding that ocean freight forwarder's failure to pay ocean freight in a timely manner is a section 10(d)(1) violation); *William R. Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11 (ALJ 1991) (NVOCC failed to establish, observe, and enforce just and reasonable regulations and practices in violation of section 10(d)(1) when the NVOCC unreasonably aborted a shipment, notwithstanding the fact that it had issued an on-board bill of lading, thereby allowing a misleading shipping document to go forward in the shipping process).

None of Complainants' claims allege any mishandling of cargo or any failure by UTi to appropriately transport or deliver its cargo as instructed. Instead, Complainants' claims relate to shipping rates and billing practices, about which Carlstar, very belatedly, developed "concerns." Aside from a formulaic recitation of the statutory provision, Complainants have failed to provide any factual basis to allege a violation of § 41102(c). Therefore, this claim must be dismissed.

B. Complainants Fail to Assert a Violation of 46 U.S.C. § 41104(2)

Complainants' claim of a violation of 46 U.S.C. § 41104(2) must also be dismissed, because Complainants allege no factual basis whatsoever to support a violation of the provision. Among other things, § 41104(2) prohibits a common carrier, either alone or in conjunction with any other person, directly or indirectly, from providing service in a liner trade that is not in accordance with rates, charges, classifications, rules, and practices contained in a valid and published tariff. Complainants allege that UTi violated § 41104(2) "by charging rates greater

than the published tariff and/or the Agreements.” Compl. ¶ 37. Beyond this naked assertion, Complainants provide no details whatsoever in the Verified Complaint that UTi provided services not in accordance with the rates contained in any tariff. Indeed, Complainants even fail to discuss the application or relevancy in any way of UTi’s potential tariff.

It is apparent that Complainants have not alleged a violation of § 41104(2) in any way. At best, as shown above, Complainants allege straightforward breach of contract claims for alleged failures to charge what was agreed upon per the agreement, bill correctly, substantiate charges, and calculate a documentation fee properly. Because Complainants fail to provide any factual basis to allege a violation of § 41104(2), this claim must be dismissed.

C. Complainants Fail to Assert a Violation of 46 U.S.C. § 41104(4)

Complainants’ claim of discriminatory pricing under 46 U.S.C. § 41104(4) must also be dismissed, because Complainants allege no factual basis whatsoever to support the bald assertion that UTi charged Carlstar “unfair and potentially discriminatory fees.” Compl. ¶ 38.

Not only does the Verified Complaint fail to provide a single detail regarding the nature of these alleged “unfair and potentially discriminatory fees,” but Complainants even fail to recite accurately what 46 U.S.C. § 41104(4) prohibits. In brief, § 41104(4) prohibits a carrier, directly or indirectly, to engage in any unfair or unjustly discriminatory practices in the matter of rates and charges, among other things, for service provided pursuant to a tariff. Among other things, Complainants allege no facts suggesting that UTi provided services to Carlstar pursuant to a tariff, not do Complainants allege how UTi engaged in any unfair or unjustly discriminatory practice. Interpreted generously, this claim is at best a textbook example of a “formulaic recitation of the elements of [the] cause of action,” which the Supreme Court made clear is *not*

sufficient to state a plausible cause of action under Rule 12(b)(6). *Iqbal*, 556 U.S. at 678. As a result, this claim must be dismissed.

III. IN THE ALTERNATIVE, COMPLAINANTS' CLAIMS SHOULD BE DISMISSED TO THE EXTENT THEY SEEK REPARATIONS FOR VIOLATIONS ACCRUING BEYOND THE APPLICABLE THREE-YEAR STATUTE OF LIMITATIONS

If Complainants' claims are not dismissed in their entirety, they should at least be dismissed to the extent they seek reparations for alleged violations that accrued beyond the applicable three-year statute of limitations. The Shipping Act, as amended, mandates that a complaint seeking reparations be "filed within 3 years after the claim accrues." 46 U.S.C. § 41301(a). Under the so-called "discovery rule," a claim accrues when the complainant "knows or should know that it has a case against a respondent":

[I]f the injury is such that it should reasonably be discovered at the time it occurs, then the plaintiff should be charged with discovery of the injury, and the limitations period should commence, at that time. But if, on the other hand, the injury is not of the sort that can readily be discovered when it occurs, then the action will accrue, and the limitations period commence, only when the plaintiff has discovered, or with due diligence should have discovered, the injury.

Maher Terminals, LLC v. Port Authority of New York and New Jersey, Docket No. 08-03, 2011 WL 7144003, at *11 (F.M.C. May 16, 2011) (internal quotation omitted).

All of the allegations in the Complaint purportedly occurred during a period from 2011 through 2016. Compl. ¶¶ 23, 26, 31. Complainants filed the Verified Complaint on August 31, 2017, so their claims are barred and must be dismissed to the extent (if at all) they seek reparations for alleged violations of the Shipping Act, as amended, that accrued prior to August 31, 2014.

Although Complainants assert that they were not aware of these alleged violations prior to learning the results of an audit conducted by Ocean Audit, Inc., Complainants have not

plausibly alleged facts supporting such an inference. *See Iqbal*, 556 U.S. at 678 (citing *Twombly*, 550 U.S. at 556). Indeed, Complainants have not even specified in the Verified Complaint the date on which they learned of the alleged violations. Carlstar asserts that it was not aware of the alleged overcharges prior to the ocean audit, Compl. ¶ 25, but at the same time contends that it retained Ocean Audit, Inc. in 2016 “due to concerns about the rate UTi was charging.” Compl. ¶ 23. The Verified Complaint does not identify the alleged “concerns” or provide the basis for those “concerns,” nor does the Verified Complaint allege when the “concerns” arose or why Carlstar could not have acted on those “concerns” prior to 2016.

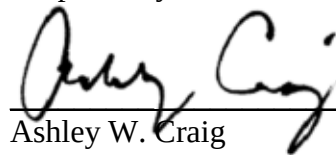
Consequently, even if Complainants’ claims are not dismissed in their entirety, they must be dismissed to the extent they seek reparations for alleged violations occurring prior to August 31, 2014.

CONCLUSION AND RELIEF REQUESTED

For the reasons set forth above, Respondents respectfully request that the Commission dismiss all claims in the Verified Complaint in its entirety and with prejudice.

Dated: December 8, 2017

Respectfully submitted,



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CERTIFICATE OF SERVICE

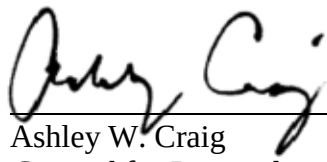
I hereby certify that I have this day served the foregoing documents upon all parties noted below by mailing via electronic mail a copy to each such person:

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Counsel for Complainants

Dated at Washington, D.C. this 8th day of December 2017.



Ashley W. Craig
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